



LONG QUEUES OUTSIDE CNG (compressed natural gas) filling stations are a common enough sight in Delhi, Mumbai, and other metros. But there has been a significant change in recent years, and it has almost gone unnoticed. The vehicles waiting patiently at these pumps aren't limited to autorickshaws or taxis anymore; there's a sizeable chunk of private passenger vehicles as well.

Introduced in the late 1990s after the Supreme Court asked the Delhi government to find an alternative to petrol and diesel to control the choking air pollution, CNG has taken a while to gain popularity. Since it was friendly on the pocket, by the early 2000s, automakers started retrofitting CNG cylinders in the boots of diesel and petrol cars. But it still wouldn't take off.

"There was only a limited amount of fuelling infrastructure that was available throughout the country, and you could obviously see huge lines of cars that used to gather around a CNG station to get the CNG refilled. An improvement in the infrastructure over

time has aided the popularity of the powertrain," says Rohan Kanwar Gupta, Vice President, Corporate Ratings at ratings agency ICRA.

In 2010, India's biggest carmaker, Maruti Suzuki India Limited, took the plunge and introduced CNG in its entry-level Alto model, becoming the first domestic automobile manufacturer to introduce the CNG powertrain. As the infrastructure developed along with tighter emission norms, CNG started to find its footing in the burgeoning automotive industry.

Even so, CNG car sales languished between 2% and 4%, rising to a modest 6.6% in 2019. But then Covid-19 appears to have changed everything. Low operating costs of CNG vehicles lured customers as petrol and diesel prices soared because of supply disruptions after the Covid-induced lockdowns. A slight increase in fuelling stations helped, even as the shortage of charging infrastructure and higher upfront costs proved a roadblock for electric vehicles (EVs).

As a result, CNG car sales have shot through the roof. Per the government's VAHAN database, 598,152 CNG cars were sold in FY24, a near 40% increase over the previous year. That momentum continued into Q1FY25 as CNG cars' market share beat that of diesel for the first time at 18.3%, compared with 18% for the latter, according to the UK-headquartered data and analytics firm JATO Dynamics. And where demand has gone, supply has followed. The number of car models that are offering CNG variants has almost doubled between June 2022 and June 2024 from 13 to 24, per JATO Dynamics. Such has been the interest that a CNG-powered motorbike has also been launched.

But for CNG's march to continue, many challenges need to be addressed, not least the limited CNG infrastructure. Plus, there's the potential threat from EVs.

74 |



"We were the first to start the production of CNG cars because they were more economical than petrol cars and environmentally cleaner. They suited users with limited incomes"

R.C. BHARGAVA

CHAIRMAN, MARUTI SUZUKI INDIA LIMITED